

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate)
Transmission System) Docket No. RM26-4-000

REPLY COMMENTS OF AMERICAN TRANSMISSION COMPANY LLC

American Transmission Company LLC, along with its corporate manager ATC Management Inc. (collectively, “ATC”), respectfully submits the following comments in reply to various initial comments submitted in response to the Notice Inviting Comments on the proposed advance notice of proposed rulemaking (“proposed ANOPR”) issued by the Federal Energy Regulatory Commission (“FERC” or “Commission”) in the above captioned docket,¹.

I. Reply Comments

ATC offers limited reply comments² to support the Commission in its decision-making and to provide additional information on three distinct issues: ensuring flexibility through a targeted approach, studying hybrid facilities realistically, and preserving consistent cost allocation principles aligned with Commission and court precedent.

¹ Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025); Proposed ANOPR, Docket No. RM26-4-000 (Oct. 27, 2025).

² Omission of a response to any comments should not be viewed by the Commission or other participants as ATC's endorsement of, agreement with, or acceptance of any position taken by any other participant in this proceeding.

A. Flexibility will Facilitate Timely Interconnections

Stakeholders responding to the ANOPR consistently emphasize that speed to market has become a critical national priority. Commenters agree that flexibility is essential to achieving timely interconnection while maintaining grid reliability and affordability. As noted in ATC’s initial comments,³ and echoed by several other stakeholders, efficient and expeditious interconnection of large loads is no longer merely a commercial preference, but a matter of national security and an economic development imperative.⁴

Flexibility remains paramount. Stakeholders agree that flexibility enables creative solutions, which are ultimately the most effective means of facilitating efficient large-load interconnections.⁵ The Commission should carefully evaluate how any proposed reforms might impact existing, and effective, processes to interconnect loads.⁶ A “one-size-fits-all” approach could inadvertently hinder progress by upending established processes and increasing the risk of implementation delays. ATC supports commenters recommending that the Commission

³ Initial Comments of ATC, Docket No. RM26-4-000, at 4-5 (Nov. 21, 2025) (“ATC Initial Comments”).

⁴ See, e.g., Initial Comments of Talen Energy Corporation, Docket No. RM26-4-000, at 3 (Nov. 21, 2025) (“Talen Initial Comments”); Initial Comments of American Terawatt, Inc., Docket No. RM26-4-000, at 4-5 (Nov. 21, 2025); Initial Comments of The Southern Companies, Docket No. RM26-4-000, at 3, 9 (Nov. 21, 2025); Initial Comments of Electricity Customer Alliance, Docket No. RM26-4-000, at 2-5 (Nov. 21, 2025); Initial Comments of esVolta, Docket No. RM26-4-000, at 4-6 (Nov. 21, 2025); Initial Comments of Edison Electric Institute, Docket No. RM26-4-000, at 37 (Nov. 21, 2025) (“EEI Initial Comments”); Initial Comments of Longroad Energy Holdings, LLC, Docket No. RM26-4-000, at 37 (Nov. 21, 2025).

⁵ See, e.g., Initial Comments of The Louisiana and Mississippi Public Service Commissions, Docket No. RM26-4-000, at 7 (Nov. 21, 2025); Initial Comments of Southwest Power Pool, Inc., Docket No. RM26-4-000, at 2 (Nov. 21, 2025) (“SPP Initial Comments”); Initial Comments of Pacific Gas and Electric Company, Docket No. RM26-4-000, at 13 (Nov. 21, 2025); Initial Comments of the New York Independent System Operator, Inc., Docket No. RM26-4-000, at 4 (Nov. 21, 2025); Initial Comments of the Arkansas Public Service Commission, Docket No. RM26-4-000, at 3 (Nov. 21, 2025).

⁶ As discussed in ATC’s initial comments, ATC has been interconnecting large loads through existing, effective business practices and procedures. ATC Initial Comments at 7-8, 12-13.

consider adopting a policy statement or general guidance rather than a sweeping rule.⁷ Such an approach would likely avoid unnecessary delays and litigation by allowing flexibility instead of imposing rigid, binding requirements.

Should the Commission determine that new load interconnection procedures are necessary, requirements should be narrowly tailored to focus on experienced issues and allow maximum flexibility. For example, the Commission should consider adopting threshold applicability requirements based upon specific operating characteristics.⁸ Limiting applicability to the subset of loads that do not meet with certain operating criteria could provide adequate controls, ensure reliability, contain costs, while preserving the flexibility for transmission owners such as ATC to continue to interconnect traditional, conforming loads based upon our existing interconnection processes.⁹ Overall, the Commission should reinforce — rather than disrupt — existing cost allocation principles and established business practices related to load interconnections.

⁷ See, e.g., EEI Initial Comments at 34 (concluding that the “Commission could also meaningfully move the needle through the issuance of a policy statement...”); Initial Comments of The Midcontinent Independent System Operator, Docket No. RM26-4-000, at 5 (Nov. 21, 2025) (MISO Initial Comments) (stating the Commission should continue to allow regional and state development; “[a]lternatively, the Commission could refine the principles started by DOE and issue a policy statement;” or, if issuing a rule, allow for independent entity variations); Initial Comments of the MISO Transmission Owners, Docket No. RM26-4-000, at 34 (Nov. 21, 2025) (“MISO TOs Initial Comments”).

⁸ ATC Initial Comments at 9 (stating that “ATC recommends that the Commission consider operating requirements for all loads in terms of ramp rates (i.e., how quickly they can increase or decrease electricity usage), active power oscillatory behavior (i.e., how much and how fast active power can swing once they are online), and ride-through capability (i.e., how well the load can remain connected and stable during grid disturbances such as voltage dips, frequency excursions, or short interruptions)”).

⁹ See ATC Initial Comments at 7-8, 12-13.

B. Studying and Interconnecting Hybrid Facilities

Initial comments reveal diverse perspectives on studying hybrid and co-located facilities. Many stakeholders advocate for coordinated studies, while some favor serial processes and others prefer cluster studies.¹⁰ ATC, along with other commenters, urges the Commission to separate studies for generation and load while preserving the flexibility for local planning authorities to rely upon their expertise to adjust sequencing and modeling.¹¹ Imposing rigid, nationwide requirements would risk undermining reliability and effectiveness, whereas regionally tailored solutions ensure fair cost allocation and facilitate seamless integration into existing interconnection processes.

Coordinated studies raise challenges, including complex cost allocation and reliability risks from inaccurate modeling. Generation and load are functionally different and should be studied separately. Therefore, to the extent hybrid facilities are studied together, safeguards such

¹⁰ See, e.g., Initial Comments of Rewiring America, Docket No. RM26-4-000, at 2 (Nov. 21, 2025) (stating “studying large loads together with co-located generation can help identify and mitigate network constraints and protect customers...”); Initial Comments of Engie North America, Inc., Docket No. RM26-4-000, at 3 (Nov. 21, 2025) (indicating strong support for studying co-located facilities together); Talen Initial Comments at 9 (“indicating that “any load interconnection studies that are required should be completed on a cluster, rather than serial, basis”); Initial Comments of Calibrant Energy Holdings LLC, Docket No. RM26-4-000, at 8 (Nov. 21, 2025) (arguing that hybrid facilities should be studied serially); SPP Initial Comments at 19 (noting that “[s]erial interconnection studies are preferred if the volume of requests is relatively low and one request does not impact another. However, cluster studies may be needed if volumes become large to mitigate the time it takes to perform the studies and potential restudies in a serial manner.”); Initial Comments of Invenergy Wind Development North America LLC, et al., Docket No. RM26-4-000, at 4 (Nov. 21, 2025) (“Invenergy Initial Comments”) (arguing that “load and hybrid facilities should be studied together with generation”).

¹¹ See, e.g., MISO Initial Comments at 23 (stating that “maintaining separate visibility of generation and load into the operating horizon is critical for reliability purposes”); SPP Initial Comments at 10 (arguing that “from a study perspective to ensure that any injection or withdrawal of MW to/from the Transmission System appropriately accounts for all impacts to the Transmission System to ensure the reliable operation of the grid”); Initial Comments of Alliant Energy Corporate Services, Inc., Docket No. RM26-4-000, at 2 (Nov. 21, 2025) (encouraging the Commission to “recognize that simply assuming generation and load offset each other is insufficient and could jeopardize reliability, affordability, and customer interests”).

as process matching¹² and system protection facilities must be incorporated. Misalignment between load and generation at a shared interconnection point can lead to unintended injections or withdrawals from the transmission system. Any injection or withdrawal must be studied, planned for, and network upgrades must be built to avoid reliability and operational issues. As discussed in ATC's initial comments, transmission owners lack the necessary tools to curtail firm service;¹³ therefore, the full impacts of any hybrid facility must be considered to prevent catastrophic consequences.

While studies must be performed separately, flexibility can increase efficiency. As the local planning authority, ATC has unique insight into sequencing based on system details and pending projects. ATC operates under MISO's regional planning process and its own local process documented in MISO's Tariff at Attachment FF-ATCLLC, which allows ATC to maintain flexibility in managing local transmission needs while ensuring compliance with ATC's service territory regulatory requirements.¹⁴ Generally, Attachment FF-ATCLLC requires ATC to study new load interconnection requests on a first-come, first-served basis.¹⁵ However, Attachment FF-ATCLLC offers some discretion to ATC, as the planning expert with the most hands-on knowledge of its system and pending projects or requests, to judiciously adjust study sequencing as needed.¹⁶ This flexibility allows ATC to engage with the planning process and

¹² See ATC Initial Comments at 11-12.

¹³ See *id.* at 15-16.

¹⁴ See MISO Tariff, Attachment FF-ATCLLC.

¹⁵ Attachment FF-ATCLLC Section VI.A.2.

¹⁶ *Id.*

conduct studies in an efficient manner that rigid, bright-line rules would not allow. As noted above and in several stakeholder comments, speed to market is essential, and therefore leveraging local expertise, along with flexibility, is vital to success.

Finally, several commenters encourage the Commission to consider technological solutions for large load integration, such as Grid Enhancing Technologies (GETs), Dynamic Line Ratings (DLRs), Advanced Transmission Technologies (ATTs), advanced power electronics, among others, to increase reliability and more efficiently interconnect large loads.¹⁷ While these technologies can offer meaningful operational benefits, they are not substitutes for robust transmission expansion, particularly, given the size of the loads being interconnected, with some surpassing 1 GW. These tools can optimize existing assets, improve flexibility, and support localized stability, but they cannot fully mitigate reliability risks posed by hybrid facilities and large, highly variable loads. The physical scale and volatility of these new demands require both advanced operational solutions and additional transmission capacity to maintain system integrity. ATC supports leveraging these technologies as complementary measures within a comprehensive planning and operations framework—not as replacements for essential transmission infrastructure.

¹⁷ See, e.g., Initial Comments of Southeast Public Interest Organizations, Docket No. RM26-4-000, at 44-45 (Nov. 21, 2025) (discussing the impact of Advanced Transmission Technologies on the interconnection of large loads); Initial Comments of The Working for Advanced Transmission Technologies Coalition and the Advancing Modern Powerlines Coalition, Docket No. RM26-4-000 (Nov. 21, 2025); Initial Comments of CTC Global Corporation, Docket No. RM26-4-000 (Nov. 21, 2025).

C. Cost Allocation

ATC, along with several stakeholders, supports continued allocation of network upgrade costs to all transmission customers that benefit from the enhanced transmission system, consistent with Commission precedent.¹⁸ While some commenters favor the ANOPR proposal to directly assign 100% of network upgrade costs triggered by large load interconnections to the load owner,¹⁹ ATC believes such direct assignment would be highly complex and likely result in disputes, confusion, and delays. ATC agrees that large loads should bear the costs they cause; however, the existing rolled-in rate treatment aligns with cost-causation principles and avoids unnecessary complexity and disputes. Under Schedule 9 of MISO's Tariff, transmission service costs are allocated to local distribution companies based on usage through their transmission rates and passed on to load via retail tariffs based on the service taken. Consequently, network upgrade costs that benefit all customers are allocated according to usage, aligning with cost-causation principles.

As outlined in ATC's initial comments, the Commission should provide flexibility to preserve existing processes and cost allocation methods to avoid disputes and delays. Tight and

¹⁸ See e.g., MISO TOs Initial Comments at 27 (highlighting long-standing cost allocation precedent); EEI Initial Comments at 9; Initial Comments of Indicated PJM Transmission Owners, Docket No. RM26-4-000, at 11 (Nov. 21, 2025) ("Indicated PJM TOs Initial Comments"); Initial Comments of FirstEnergy, Docket No. RM26-4-000, at 7 (Nov. 21, 2025); Initial Comments of the PPL Companies, Docket No. RM26-4-000, at 10 (Nov. 21, 2025); Initial Comments of National Grid, Docket No. RM26-4-000, at 13-14 (Nov. 21, 2025); Initial Comments of WIRES, Docket No. RM26-4-000, at 6 (Nov. 21, 2025) (explaining that due to the benefits for all customers, "the Commission has a long-standing policy in favor of rolled-in rates for integrated systems").

¹⁹ See e.g., Initial Comments of Transmission Access Policy Study Group, Docket No. RM26-4-000, at 22-27 (Nov. 21, 2025); Motion to Intervene and Comments of Tri-State Generation and Transmission Association, Inc., Docket No. RM26-4-000, at 8 (Nov. 21, 2025); Initial Comments of the People of the State of Illinois by the Office of the Illinois Attorney General, Docket No. RM26-4-000, at 11-12 (Nov. 21, 2025); Initial Comments of the Public Utilities Commission of Ohio's Office of the Federal Energy Advocate, Docket No. RM26-4-000, at 5 (Nov. 21, 2025); Invenenergy Initial Comments at 9-10.

variable timelines among load and generation projects often obscure cost responsibility for network upgrades, increasing the likelihood of conflict. Direct assignment should be narrowly tailored to facilities exclusively attributable to and used by new loads to help contain costs and maintain alignment with cost-causation principles.²⁰ In summary, ATC recommends that the Commission avoid sweeping reforms that could lead to untenable consequences. Importantly, any future guidance, policy statement, or rulemaking should preserve transmission owners' ability to earn a reasonable return on transmission system investments, consistent with judicial precedent.²¹ Transmission owners must continue to be compensated for the risks associated with owning, operating, and maintaining network upgrades through mechanisms such as initial funding under any future cost-assignment framework.

II. Conclusion

ATC respectfully requests that the Commission consider these limited reply comments in any future rulemaking in this proceeding. Further, ATC continues to appreciate the willingness

²⁰ See ATC Initial Comments at 18-19 (stating that ATC recommends narrowly tailoring direct assignment to facilities clearly attributable to and exclusively used by the new load—such as interconnection facilities analogous to TOIF in the generator process. Loads should also bear 100% of costs for facilities required due to non-conforming characteristics (e.g., oscillation, ramping, low-voltage ride-through). Specialty equipment like E-STATCOMs, needed to address oscillatory behavior, is easily identifiable and should be directly assigned, including ongoing O&M costs. Similarly, if a customer requests facilities beyond ATC's Best Value Plan (defined in Attachment FF-ATCLLC)—such as buried lines for aesthetics or additional equipment—the customer should pay those costs.).

²¹ See *FPC v. Hope Nat. Gas Co.*, 320 U.S. 591, 603 (1944); *Bluefield Waterworks & Improvement Co. v. Pub. Serv. Comm'n of W. Va.*, 262 U.S. 679, 690 (1923). See also ATC Initial Comments at 19-21; MISO TOs Initial Comments at 26-27; Indicated PJM TOs Initial Comments at 10 (pointing out that the Commission “must ensure that such upgrades are recoverable in the transmission-owning utilities’ rate base on which they are permitted to earn a reasonable rate of return” which is “vital to attracting sufficient investment in necessary transmission infrastructure as well as protecting the financial viability of the utilities the Commission regulates.”); Initial Comments of ITC Holdings Corp., Docket No. RM26-4-000, at 4 (Nov. 21, 2025); Initial Comments of EEI at 11 (stating that “investments must be made in a constructive and predictable environment that provides the opportunity to earn a return of and on the entirety of the transmission network.”).

of the Commission to continue to consider individual public utilities' FPA section 205 filings to address these and similar issues during the pendency of this proceeding.²²

Respectfully submitted,

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Proposed ANOPR at P 32.

CERTIFICATE OF SERVICE

I hereby certify that I have on this day served the foregoing document upon each person designated on the official service list compiled by the Secretary in this proceeding.

Dated at Pewaukee, WI, this 5th day of December 2025.

/s/ Stephanie Neitzel

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